Excerpts from Apple's 2018 10-k

Apple Inc.

CONSOLIDATED STATEMENTS OF OPERATIONS
(In millions, except number of shares which are reflected in thousands and per share amounts)

	Years ended		
	September 29, 2018	**September 30, 2017**	**September 24, 2016**
Net sales	$ 265,595	$ 229,234	$ 215,639
Cost of sales	163,756	141,048	131,376
Gross margin	101,839	88,186	84,263
Operating expenses:			
Research and development	14,236	11,581	10,045
Selling, general and administrative	16,705	15,261	14,194
Total operating expenses	30,941	26,842	24,239
Operating income	70,898	61,344	60,024
Other income/(expense), net	2,005	2,745	1,348
Income before provision for income taxes	72,903	64,089	61,372
Provision for income taxes	13,372	15,738	15,685
Net income	$ 59,531	$ 48,351	$ 45,687
Earnings per share:			
Basic	$ 12.01	$ 9.27	$ 8.35
Diluted	$ 11.91	$ 9.21	$ 8.31
Weighted average shares used in computing earnings per share:			
Basic	4,955,377	5,217,242	5,470,820
Diluted	5,000,109	5,251,692	5,500,281

Apple Inc.

CONSOLIDATED BALANCE SHEETS
(Shown in millions, except number of shares which are shown in thousands)

	September 29, 2018	September 30, 2017
ASSETS:		
Current assets:		
Cash and cash equivalents	$ 25,913	$ 20,289
Marketable securities	40,388	53,892
Accounts receivable, net	23,186	17,874
Inventories	3,956	4,855
Vendor non-trade receivables	25,809	17,799
Other current assets	12,087	13,936
Total current assets	131,339	128,645
Non-current assets:		
Marketable securities	170,799	194,714
Property, plant and equipment, net	41,304	33,783
Other non-current assets	22,283	18,177
Total non-current assets	234,386	246,674
Total assets	$ 365,725	$ 375,319
LIABILITIES AND SHAREHOLDERS' EQUITY:		
Current liabilities:		
Accounts payable	$ 55,888	$ 44,242
Other current liabilities	32,687	30,551
Deferred revenue	7,543	7,548
Commercial paper	11,964	11,977
Term debt	8,784	6,496
Total current liabilities	116,866	100,814
Non-current liabilities:		
Deferred revenue	2,797	2,836
Term debt	93,735	97,207
Other non-current liabilities	45,180	40,415
Total non-current liabilities	141,712	140,458
Total liabilities	258,578	241,272
Commitments and contingencies		
Shareholders' equity:		
Common stock and additional paid-in capital, $0.00001 par value: 12,600,000 shares authorized; 4,754,986 and 5,126,201 issued and outstanding for fiscal years ending 2018 and 2017, respectively	40,201	35,867
Retained earnings	70,400	98,330
Accumulated other comprehensive income/(loss)	(3,454)	(150)
Total shareholders' equity	107,147	134,047
Total liabilities and shareholders' equity	$ 365,725	$ 375,319

See accompanying Notes to Consolidated Financial Statements.

Apple Inc.

CONSOLIDATED STATEMENTS OF CASH FLOWS
(In millions)

	Years ended		
	September 29, 2018	**September 30, 2017**	**September 24, 2016**
Cash and cash equivalents, beginning of the year	$ 20,289	$ 20,484	$ 21,120
Operating activities:			
Net income	59,531	48,351	45,687
Adjustments to reconcile net income to cash generated by operating activities:			
Depreciation and amortization	10,903	10,157	10,505
Share-based compensation expense	5,340	4,840	4,210
Deferred income tax expense/(benefit)	(32,590)	5,966	4,938
Other	(444)	(166)	486
Changes in operating assets and liabilities:			
Accounts receivable, net	(5,322)	(2,093)	527
Inventories	828	(2,723)	217
Vendor non-trade receivables	(8,010)	(4,254)	(51)
Other current and non-current assets	(423)	(5,318)	1,055
Accounts payable	9,175	8,966	2,117
Deferred revenue	(44)	(626)	(1,554)
Other current and non-current liabilities	38,490	1,125	(1,906)
Cash generated by operating activities	77,434	64,225	66,231
Investing activities:			
Purchases of marketable securities	(71,356)	(159,486)	(142,428)
Proceeds from maturities of marketable securities	55,881	31,775	21,258
Proceeds from sales of marketable securities	47,838	94,564	90,536
Payments for acquisition of property, plant and equipment	(13,313)	(12,451)	(12,734)
Payments made in connection with business acquisitions, net	(721)	(329)	(297)
Purchases of non-marketable securities	(1,871)	(521)	(1,388)
Proceeds from non-marketable securities	353	126	—
Other	(745)	(124)	(924)
Cash generated by/(used in) investing activities	16,066	(46,446)	(45,977)
Financing activities:			
Proceeds from issuance of common stock	669	555	495
Payments for taxes related to net share settlement of equity awards	(2,209)	(1,874)	(1,570)
Payments for dividends and dividend equivalents	(13,735)	(12,769)	(12,150)
Repurchases of common stock	(73,056)	(32,900)	(29,722)
Proceeds from issuance of term debt, net	6,969	28,662	24,954
Repayments of term debt	(6,500)	(3,500)	(2,500)
Change in commercial paper, net	(14)	3,852	(397)
Cash used in financing activities	(87,876)	(17,974)	(20,890)
Increase/(Decrease) in cash and cash equivalents	5,624	(195)	(636)
Cash and cash equivalents, end of the year	$ 25,913	$ 20,289	$ 20,484
Supplemental cash flow disclosure:			
Cash paid for income taxes, net	$ 10,417	$ 11,591	$ 10,444
Cash paid for interest	$ 3,022	$ 2,092	$ 1,316

See accompanying Notes to Consolidated Financial Statements.

Note 5 – Debt

Term Debt

As of September 29, 2018 , the Company had outstanding floating- and fixed-rate notes with varying maturities for an aggregate principal amount of $104.2 billion (collectively the "Notes"). Amounts reported correspond to face values. The effective interest rates for the Notes include the interest on the Notes, amortization of the discount or premium and, if applicable, adjustments related to hedging. The Company recognized $3.0 billion , $2.2 billion and $1.4 billion of interest expense on its term debt for 2018 , 2017 and 2016 , respectively. The following table provides a summary of the Company's term debt as of September 29, 2018 and September 30, 2017 :

		2018		2017	
	Maturities (calendar year)	Amount (in millions)	Effective Interest Rate	Amount (in millions)	Effective Interest Rate
2013 debt issuance of $17.0 billion:					
Floating-rate notes	—	$ —	—%	$ 2,000	1.10%
Fixed-rate 2.400% – 3.850% notes	2023 – 2043	8,500	2.44% – 3.91%	12,500	1.08% – 3.91%
2014 debt issuance of $12.0 billion:					
Floating-rate notes	2019	1,000	2.64%	1,000	1.61%
Fixed-rate 2.100% – 4.450% notes	2019 – 2044	8,500	2.64% – 4.48%	8,500	1.61% – 4.48%
2015 debt issuances of $27.3 billion:					
Floating-rate notes	2019 – 2020	1,507	1.87% – 2.64%	1,549	1.56% – 1.87%
Fixed-rate 0.350% – 4.375% notes	2019 – 2045	24,410	0.28% – 4.51%	24,522	0.28% – 4.51%
2016 debt issuances of $24.9 billion:					
Floating-rate notes	2019 – 2021	1,350	2.48% – 3.44%	1,350	1.45% – 2.44%
Fixed-rate 1.100% – 4.650% notes	2019 – 2046	23,059	1.13% – 4.78%	23,645	1.13% – 4.78%
2017 debt issuances of $28.7 billion:					
Floating-rate notes	2019 – 2022	3,250	2.41% – 2.84%	3,250	1.38% – 1.81%
Fixed-rate 0.875% – 4.300% notes	2019 – 2047	25,617	1.54% – 4.30%	25,705	1.51% – 4.30%
First quarter 2018 debt issuance of $7.0 billion:					
Fixed-rate 1.800% notes	2019	1,000	1.83%	—	—%
Fixed-rate 2.000% notes	2020	1,000	2.03%	—	—%
Fixed-rate 2.400% notes	2023	750	2.66%	—	—%
Fixed-rate 2.750% notes	2025	1,500	2.77%	—	—%
Fixed-rate 3.000% notes	2027	1,500	3.05%	—	—%
Fixed-rate 3.750% notes	2047	1,250	3.80%	—	—%
Total term debt		104,193		104,021	
Unamortized premium/(discount), net		(1,674)		(318)	
Less: Current portion of term debt		(8,784)		(6,496)	
Total non-current portion of term debt		$ 93,735		$ 97,207	

The future principal payments for the Company's Notes as of September 29, 2018 are as follows (in millions):

2019	$ 8,797
2020	10,183
2021	8,750
2022	8,583
2023	9,395
Thereafter	58,485
Total term debt	$ 104,193

As of September 29, 2018 and September 30, 2017, the fair value of the Company's Notes, based on Level 2 inputs, was $103.2 billion and $106.1 billion, respectively.